

Stop Hunting: What Can and Cannot Be Recognised

Signal Pilot Education — companion to Lesson 27: The Liquidity Lie, Lesson 25: Where Liquidity Rests, and Lesson 35: Sweeps, Beyond the First.

Educational only. Trading involves substantial risk of loss. Not financial advice. Past performance does not guarantee future results.

What this guide is for

The usual version of this subject teaches you to spot a stop hunt in progress and trade the reversal. This one asks a prior question: can it be spotted at all, from price? The answer decides whether the rest of the advice is worth anything, and it is measurable rather than a matter of opinion.

Part 1: the part that is real

Stops collect. Lesson 25 shows why, and the reason is boring: a stop is a market order that has not happened yet, the rules for placing one are few and shared, and everybody arrives at the same level by the same reasoning. Round numbers, prior extremes, obvious trend lines. No coordination is needed and none is implied.

A pool is therefore a quantity of certain future flow at a known price that nobody can observe beforehand, because stops are not resting in the book.

Part 2: the part that is proved

Deliberate manipulation exists and is prosecuted. Lesson 27 reads the enforcement record rather than the retail account of it, and two things follow.

Where it happens. At institutional size, against other automated participants, over a tick or two.

What it is worth. The same technique earns **\$62,500 a go at a billion dollars of exposure and \$25 at two contracts**. The economics decide who is on the other side of it, and it is not a retail stop.

Part 3: the part that cannot be recognised

Here is the difficulty with recognition, and it is not a matter of skill.

A run through a level followed by a reversal looks identical whether it was caused by someone acting deliberately, by an ordinary cascade of stops with no author, or by nothing at all. Price does not carry intent. Lesson 27's whole finding is that the conduct which has been proved cannot be identified from a chart after the fact, and neither can its absence.

Worse, the event itself is not well defined. Lesson 35 shows that whether a sweep happened depends on three settings:

1. Which levels count
2. Whether a wick past is enough, or the close has to stay inside
3. How soon back inside still counts

On the same sixty bars, ordinary values of the three find **four sweeps, or fifteen, or forty-six**. Any claim about how often stop hunts occur is a claim about those three numbers first.

Part 4: what widening the stop costs

The standard defence is to place the stop further away. That has a price, and lesson 27 computes it: **moving your stop out far enough to escape the run gives up 0.46R on every trade you take** — including all the trades where nothing was coming for you.

The other end of the trade-off is lesson 25's. A stop placed 0.1 ATR below a level has the best reward-to-risk on the page, **9.2 to 1, and still loses money**, because it is hit far too often.

Where the stop goes	What happens
Very close to the level	Best reward-to-risk on paper, negative expectancy in practice
0.47 to 0.84 ATR below	Keeps 95 per cent of the best expectancy available
Far enough to be "safe"	Gives up 0.46R a trade, on every trade

The band is the finding. It comes out of arithmetic on stated inputs, and it does not require a view about anybody's intentions.

Part 5: what to do instead of recognising

- **Place the stop where the reason for the trade dies**, then check the distance against the 0.47 to 0.84 ATR band.
- **Fix your sweep definition before you count**. Write the three settings down and keep them. A count taken at settings you chose afterwards is not a count.
- **Record run-and-reclaim events on your own instrument**. Lesson 61 finds the frequency moving from 0.00 to 1.00 across ordinary definitional choices, so it solves for the break-even instead: half the probability that the level simply holds.
- **Do not read intent off price**. Not because it is impolite, but because the same bars are produced by all three causes and nothing distinguishes them.

What this guide replaces

The version of this subject that says large players need liquidity, retail stops provide it, and here is how to see it coming, is not wrong about the first clause. It is wrong about the last one, and lesson 27 prices what acting on it costs.

The line to keep: stops really do pile up at levels anyone can name, and the piling needs no author. What happens next cannot be attributed from the chart, and the attempt costs 0.46R a trade.